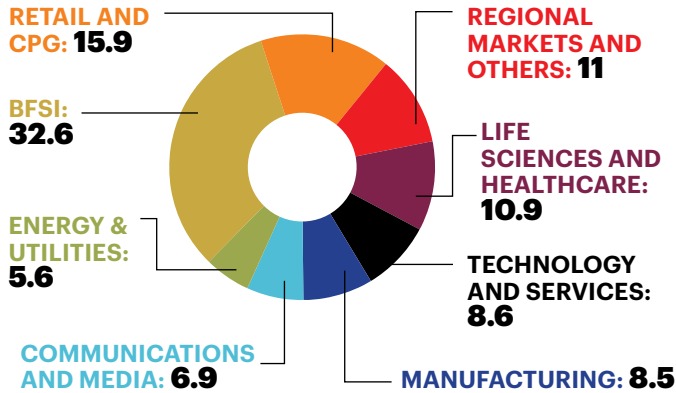


VERTICAL SPLIT

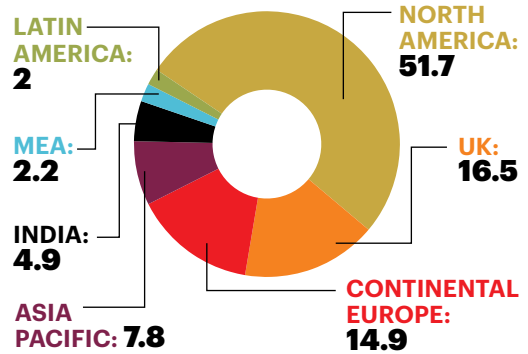
➤ BFSI is the top contributor among sectors for TCS, accounting for 32.6 per cent of its revenues ➤ Energy and utilities have the lowest contribution



CONTRIBUTION TO REVENUES (%)
DATA AS OF Q2FY24 **SOURCE** COMPANY/MOSFL

UNITED BY GEOGRAPHIES

➤ North America continues to dominate in terms of revenue share ➤ India accounts for just 4.9 per cent of TCS's revenue share



CONTRIBUTION TO REVENUE (%)
DATA AS OF Q2FY24 **SOURCE** COMPANY/MOSFL

68 |

ation is so poor that deals aren't being converted. "We expect 4.6 per cent growth for FY24. Then, when macro revives and deals ramp up in FY25, we expect around 9.6 per cent growth in FY25," says Bhatt.

THE OPPORTUNITY

GenAI and cloud penetration will increase over a period of time, he says. "The reason deals are not going through is because clients are conserving cash. Even attrition is happening because growth has tapered. As and when growth improves, hiring will improve," Bhatt adds.

Krithivasan feels that it's pointless to play astrologer at this point, and it's rather more fruitful to focus on the long term.

"If learned economists can't say whether there will be a recession or not, who am I? We don't do anything esoteric. We keep things very simple," he says. "Today, there is a lot of

interest in conserving cash and saving money. It's not that they [clients] don't want to invest, but there is a certain amount of uncertainty because there's a guarded investment approach," says Krithivasan.

According to him, the migration to the cloud actually signifies a multi-year technology transformation. "Every organisation has to go through it, and this is not going to stop in a year or two. Comparative advantage comes for most organisations with the deployment of technology," he says. "We can either be a fast follower or a pioneer in helping the customer transform."

For TCS, what has worked is a healthy mix of conservatism and the desire to grow. "We are fairly fiscally prudent. We always evaluate an acquisition based on how easily it's filling a gap that we have today. Then, if it fills a gap, does it also have a multiplier effect?" he asks. Krithivasan says TCS does

not make acquisitions just to make its balance sheet look good.

When it comes to TCS's desire to grow, Krithivasan likes to think like an entrepreneur. "If anybody had an idea, we would tell them what we can give is seed funding, and the most important funding they need is bandwidth. We want people to take risks and experiment with new ideas," he says.

A combination of both of these factors is what he believes will help TCS battle current headwinds and put India on the emerging technology map.

"There are many growth areas in terms of R&D and developing Indian language models to take technology to the masses. These are also growth areas for the company, and our imagination is the only thing that limits us [from thinking] big," he says. **BT**

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